tapers off and the Indian inflation numbers come down."

Arvind Panagariya, professor of economics at Columbia University, has a similar view. According to him, the origins of the pressure on the rupee today are not due to higher inflation rates at home but because of the rising interest rates in the US in the face of a high degree of international mobility of financial capital. "Attracted by these high interest rates, financial capital in India seeks to flow to the US and puts downward pressure on the rupee," he wrote in a recent media article. He said that the RBI has relied more on the option of drawing on its stock of forex reserves to match finance capital outflows at the prevailing exchange rate, which led to a depletion of our forex reserves and a loss of competitiveness for Indian goods. More recently, the RBI shifted its stance to make it attractive for private agents to supply the necessary dollars by letting the dollar appreciate and the rupee depreciate, which is a welcome measure, he argues.

There are news reports that the RBI is contemplating several other measures such as opening a special window for oil importers and reducing hedging costs for foreign currency depositors to plug the rupee's fall. It may also put curbs on imports of "non-essential" goods, such as gold, to conserve dollars. Reports say that bilateral trade through rupee invoicing or the rupee account can help bypass the dollar, limiting its demand. In fact, the idea of a rupee-rouble trade between India and Russia is already in the works, although progress has been slow.

"You want an orderly depreciation of the rupee. However, if you intervene too much, then you burn the reserves also," D.K. Joshi, chief economist with Crisil, told INDIA TODAY. "Reserves are an insurance, and have to be used for cutting volatility. They can't be the only tool to handle currency. It is difficult to battle the financial markets with just the forex reserves." Every episode of depreciation will be followed by one of appreciation. Over the cycle, the rupee tends to follow its natural course, he adds.

Shaktikanta Das, RBI governor, is of the view that India's forex reserves are favourable as compared to most peer economies. "About 67 per cent of the decline in reserves during the current financial year is due to valuation changes arising from an appreciating US dollar and higher US bond yields," he said on September 30. The same day, the RBI raised the repo rates, or the rate at which commercial banks borrow from it, by yet another 50 basis points, taking the rate to 5.9 per cent. In fact, the rise in the US dollar has been a concern for many countries as overseas funds are quickly pulling out money from several markets, including Asian ones. In tandem with the dollar's rise, other global currencies have been falling too. Given the global backdrop of a strong dollar, experts caution the rupee will depreciate further to 82/$ in the near term. With the pressure to conserve India's forex reserves in the face of this slide, the RBI has its work cut out. ■

IN NUMBERS

₹73.84
Rupee against the US dollar on Sept. 28, 2021

₹81.9
Rupee against the US dollar on Sept. 28, 2022 (a record low)

$642 billion
(₹52.4 lakh crore)
India's forex reserves as on Sept. 3, 2021 (a record high)

$537.5 billion
(₹43.9 lakh crore)
India's forex reserves as on Sept. 23, 2022

₹1.68 lakh crore
What FPIs have pulled out from the Indian stock markets in 2022 so far

MAHARASHTRA

FEEDING CHANGE

By Kiran D. Tare *in Nandurbar*

As Dr Sandeep Kakuste places a five-month-old girl on a digital weighing scale, the reading brings a smile to his face. The infant, who weighed just 1.7 kilograms at birth—way lower than the standard norm of 3.2 kg—now weighs 5.5 kg. The doctor commends the mother, though cautioning her not to give up on regular breastfeeding, for which she has been regularly trained by the health subcentre's staff. "This [weight gain] happened only because of scientific breastfeeding," says the doctor, who is posted as a community health officer (CHO) at Nandarkhe village in the tribal-dominated Nandurbar district of Maharashtra.

According to district authorities, almost 500 babies who participated in a study between August 1 and 8 recorded a weight gain in the range of 300-800 grams. This is much higher than the World Health Organization-accepted norm of 266 grams of weight gain per week in the first two months, which drops to about 50 grams by age one. For Nandurbar, which has the dubious distinction of having the second-most number of malnourished children in Maharashtra (after Amravati), this is a promising development. The district has seen 507 malnourishment-related deaths between January and August this year. According to an ongoing public interest litigation in the Bombay High Court, children accounted for at least 86 of these deaths.

Malnutrition is a serious medical condition that kicks in when a person's diet does not contain the right amount of nutrients. Breast milk provides all the nutrients to an infant for the initial months, and continues to provide at least one-third of the nutritional needs up to the age of two, says WHO, while recommending exclusive breastfeeding in the first six months. In Nandurbar, the percentage of infants being exclu-